

lecture no 3
Topic name: Introduction
To Economics
Week no: 3
class no: 3
Date: 25-03-2026
Day: Wednesday

What is demand and law of demand?

Demand:-

The quantity of a good or service that buyers are willing and able to buy at a given price level.

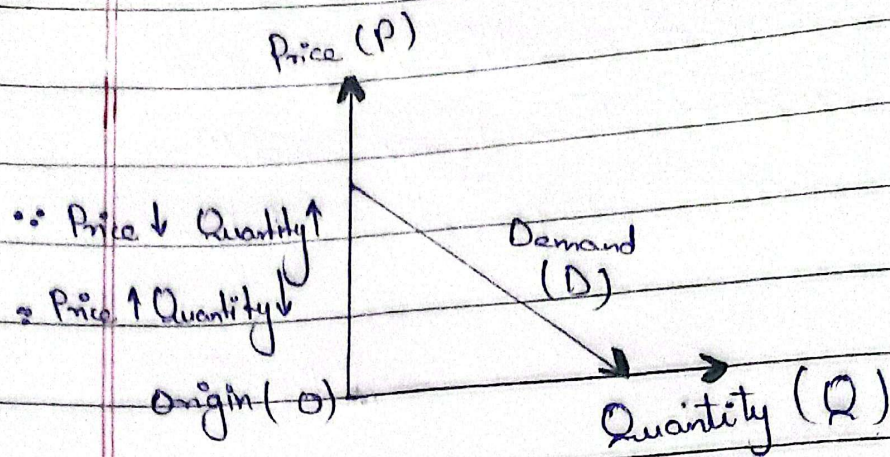
Law of demand:

As the price of a good or service increases, the quantity demanded decreases, and vice versa, ceteris paribus (all else being equal)

Fore Example:

When price go up, people tend to buy less, and when prices drop they buy more.

Graph of demand.



What is supply and Law of supply?

Supply:

The quantity of a good or service that producers are willing and able to produce and sell at a given price level.

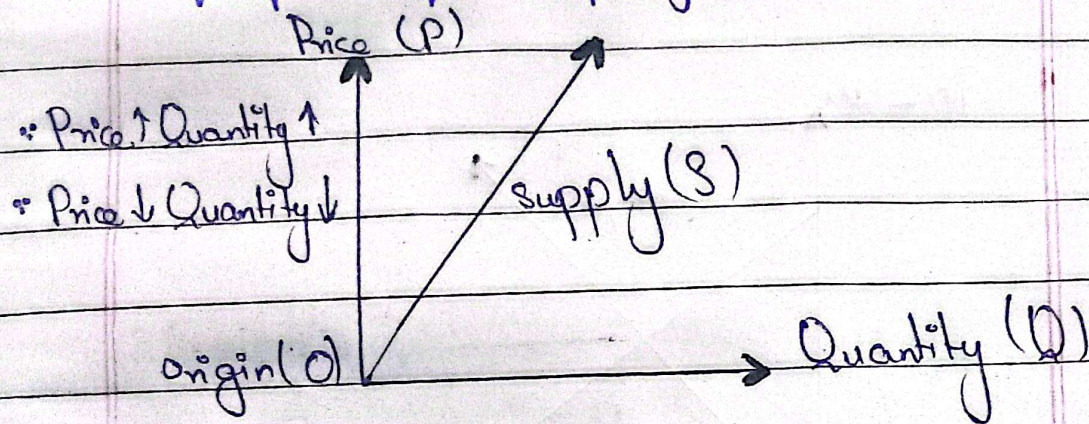
Law of Supply:

As the price of a good or service increases, the quantity supplied also increases, and vice versa, *ceteris paribus* (all else being equal).

In simple terms

When prices rise, producers want to produce more to earn more profits.

Graph of Supply



What is market equilibrium?

Market equilibrium

The point where the supply and demand curves intersect, meaning the quantity demanded equals the quantity supplied.

Equilibrium Price

The price at which buyers want to buy exactly what sellers want to sell.

Equilibrium Quantity

The quantity bought and sold

at the equilibrium price.

More Examples

Think of it like a balance

- When supply meets demand, the market is in equilibrium.

Graph

